

Markets Briefing **Equities**

US stocks jump after Fed announces smaller rate rise

Investors emboldened after central bank chair says focus is 'not on short-term moves' in markets



The Federal Reserve, led by chair Jay Powell, raised its benchmark interest rate by 0.25 percentage point on Wednesday © Financial Times

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US stocks closed at their highest level since last summer and government bonds swung higher on Wednesday after the Federal Reserve announced a further slowdown in the pace of interest rate rises.

The US central bank lifted its benchmark interest rate 0.25 percentage points to a range of 4.5 per cent to 4.75 per cent. The widely expected move in the federal funds rate was less than previous increases of 0.5 or 0.75 percentage points undertaken at recent meetings.

The Fed's smaller rate increase after its first monetary policy meeting of the year reflects growing confidence that inflation is on a downward trajectory after several months of encouraging data.

Wall Street's benchmark S&P 500 index, which had slipped earlier in the day, rebounded after Fed chair Jay Powell spoke to reporters and closed 1.1 per cent higher for the day. The tech-heavy Nasdaq Composite jumped 2 per cent. The S&P closed at its highest level since August, while the Nasdaq reached the highest level since September.

Powell continued to stress the need for further rate rises to bring inflation firmly under control, and said policymakers would not become "complacent" despite encouraging recent data.

However, Michael de Pass, head of linear rates trading at Citadel Securities, said investors were encouraged by Powell's relaxed comments about a recent rally in stock and bond prices.

The S&P 500 rose 6 per cent in January while bond yields fell, making it easier for companies to raise cash. Powell had warned about the need for caution during similar rallies last year, but when asked about the trend on Wednesday, he said "our focus is not on short-term moves", stressing that conditions had "tightened significantly over the past year".

"There was some consensus prior to the meeting that the one area he'd try to push back on was the easing of financial conditions, but that was not the path he took," de Pass said.

Bond markets rallied, with the yield on the benchmark 10-year Treasury dropping 0.13 percentage points to 3.40 per cent. Bond yields fall when prices rise.

The dollar index, which tracks the US currency against a basket of peers, fell 0.9 per cent. The dollar has devalued significantly in recent months as the pace of interest rate rises has slowed.

The Bank of England and European Central Bank are due to implement their own interest rate increases on Thursday, with both expected to opt for half percentage-point adjustments upwards.

The regional Stoxx Europe 600 traded flat after eurozone inflation fell more than expected to 8.5 per cent in January, down from 9.2 per cent in December. Economists polled by Reuters had forecast a decline to 9 per cent. Core inflation, which omits relatively volatile food and energy prices, remained at 5.2 per cent, with investors having expected a decline to 5.1 per cent. London's FTSE 100 slipped 0.1 per cent.

In Asia, Hong Kong's Hang Seng index added 1 per cent, China's CSI 300 rose 0.9 per cent and South Korea's Kospi gained 1.2 per cent. Japan's Nikkei was steady.

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